

Market Watch

Fed's Warsh delivers what markets wanted to hear

Summary

Event: Fed Chair Warsh, in his debut speech at the annual Jackson Hole summit, delivered what bond markets wanted to hear – he emphatically reiterated his commitment to lowering inflation back to 2% using monetary policy, opening the possibility of a rate hike this year if inflation remains elevated in the coming months, as rates were not restrictive.

Market reaction: The US bond yield curve bear-flattened on Friday after Warsh's speech as money markets raised the probability of a September rate hike to c. 60%, from 36% prior to the speech. The policy rate-sensitive US 2-year yield jumped 11bps on Friday to 4.34%, while the 10-year yield rose 4bps to 4.72%. However, the 30-year yield, which has risen to almost two-decade highs in August, initially fell but ended little changed, as Warsh allayed some concerns about monetary policy but did not address the structural drivers of rising yields – US public debt and fiscal uncertainty.

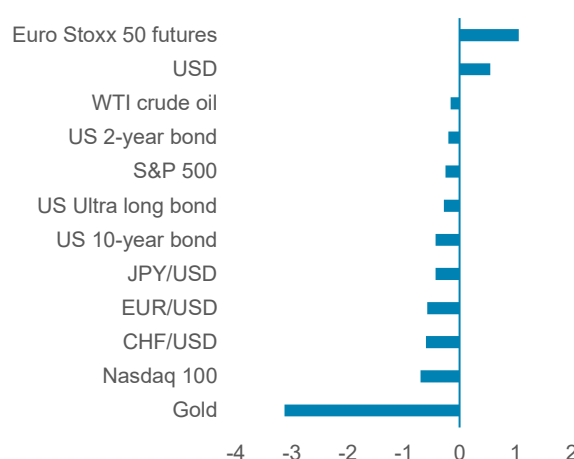
The broad USD index (DXY) rose 0.6%, breaking above its 200DMA, on higher 2-year yields, dragging gold lower by 3.1% to USD 4,455/oz. The S&P500 stock index fell 0.3%.

Our view: The chance of a rate hike has risen after Warsh's speech. We will closely monitor August payrolls data due on Friday and CPI inflation data on 11 September, both of which come before the 16 September Fed policy meeting. Core CPI at or above 0.2% m/m would support a September hike. The bar for further rate hikes remains high, though, amid expected downward revisions to the Fed's preferred PCE inflation data. An October hike is unlikely before November's midterm elections. Chances of a December hike will rise if inflation stays at or above 0.2% m/m in the next three months.

The other high bar against multiple rate hikes is rising US debt and the Treasury's attempt to shorten duration. Multiple rate hikes would be counterproductive. Interestingly, long-term bond yields were little changed after Warsh's speech, perhaps due to disappointment that Warsh did not even mention the USD 40tn US debt or any solutions to counter it.

USD rose with short-term bond yields, while gold fell as Warsh raised the possibility of a rate hike this year

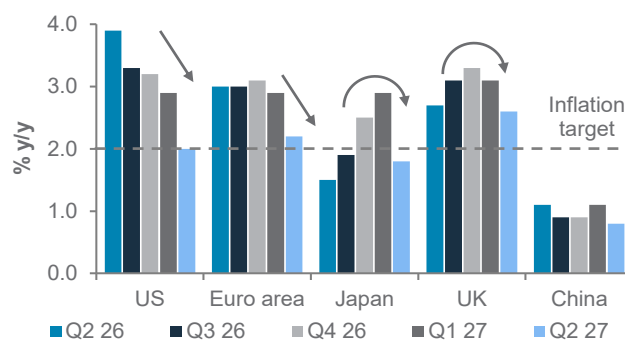
Asset performance: 27-Aug close to 28-Aug close, %



Source: Bloomberg, Standard Chartered

US inflation is expected to decline towards the Fed's 2% target by mid-2027, reducing the need for further rate hikes, even if the Fed hikes once this year

Consensus inflation estimates for major economies



Source: Bloomberg, Standard Chartered

What did Warsh say at Jackson Hole?

Backdrop to Jackson Hole: Chair Warsh had his work at Jackson Hole cut out. Heading into the summit, long-term bond yields had risen partly due to: i) concerns that the Fed is not committed to its 2% inflation target; ii) doubts about whether personal consumption expenditure (PCE)-based inflation remains its preferred measure of inflation; and iii) doubts about whether it plans to use non-monetary policy-based tools to lower inflation. These concerns were raised following Warsh's press conference after the July Fed policy meeting when his replies seemed evasive. Also, Warsh's abandoning of an almost two-decade-long Fed practice of providing forward guidance on rates, adopted after the 2008 financial crisis, raised uncertainty about the future path of rates and how the Fed would react to emerging data.

"We have work to do": Although Warsh stuck by his plan to not offer forward guidance on rates, he managed to allay the three main concerns. He reiterated the Fed's 2% inflation target, specifically on the PCE-based inflation measure. He also confirmed that he believes monetary policy will be the primary tool to bring down inflation to the 2% target if inflation stays elevated.

To quote him: "Here is my standard: We must be confident that underlying inflation is moving to our objective, clearly and at sufficient speed. Otherwise, we have work to do. That's our job." Separately, he said: "While this summer's PCE and CPI (inflation) readings were better than expected, they do not tell me that underlying trends have meaningfully improved. Market prices show confidence that we will deliver price stability. And I can assure you, they're right."

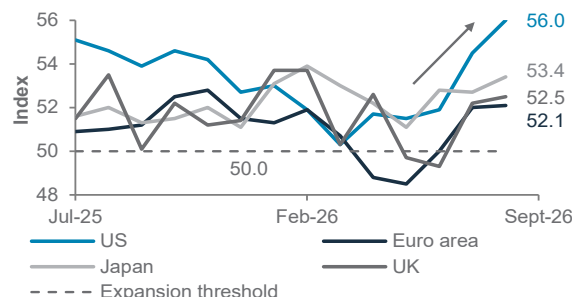
"Let's be equally clear about another aspect of the objective: Price stability is not self-executing, nor is inflation necessarily mean-reverting. It is the Fed's job to deliver stable prices."

Warsh also backed his stance on not offering forward guidance thus: "I wish our understanding of the economy were so precise as to provide a mechanical, tried-and-true answer. But our knowledge just doesn't extend that far — at least not yet — and the factors most relevant to the proper conduct of monetary policy change over time."

Investment Strategy: With some of the misunderstandings out of the way, we believe incoming data will determine whether the Fed will hike rates this year. We now see 50% chance of a rate hike this year, potentially in September, contingent on 0.2% m/m or higher core CPI inflation data for August. Nevertheless, chances of further rate hikes remain low amid i) softening job market and consumption over the summer, which is likely to extend if the AI boom continues to suppress job creation and keep youth unemployment elevated; ii) the expected downward revision in past five years' personal consumption expenditure (PCE)-based

The US is leading an upturn in business activity, driven by a surge in AI investments. However, US job creation and inflation softened over the summer. The contrast highlights the Fed's dilemma in setting its rates policy

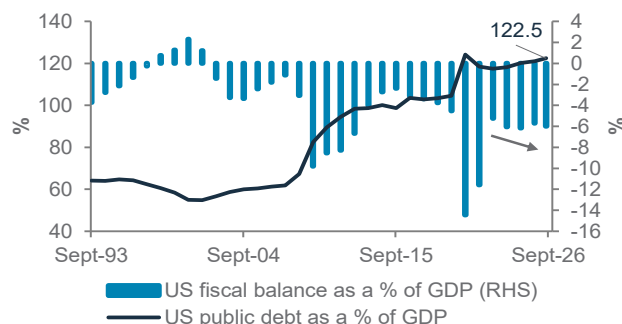
Purchasing managers indices across major economies



Source: Bloomberg, Standard Chartered

The rising US public debt and fiscal deficit sets a high bar for aggressive Fed policy tightening as higher Fed rates would increase the cost of government borrowing

US total public debt and yearly fiscal balance*



Source: Bloomberg, Standard Chartered; *Oct-Sep fiscal years; latest fiscal data: 10 months to July 2026

inflation in September; and iii) continued disinflation in the coming months on cooling shelter and wage inflation and subdued goods inflation as tariff and tax refund impact fades.

Since markets are already pricing in close to two rate hikes over the next 12 months, chances of a more aggressive rate hiking cycle remains low. **Thus, we continue to prefer the 3-5-year maturity bucket in bonds, while looking for tactical opportunities to increase maturity towards 10 years if the US 10-year government bond yield rises towards 5%.** Investor positioning in longer-term bonds remains extremely bearish, raising the chance of tactical opportunities to add duration, however the outlook remains challenging for buy-and-hold investors, given structural drivers of rising long-term yields. Surging corporate bond issuance to support AI capex is adding upward pressure on long-term yields.

Given our view that markets have largely priced in Fed rate hikes, we believe any temporary rise in the USD would be an opportunity to reduce exposure in favour of higher beta G10 currencies such as the AUD. We expect the USD index (DXY) to ease to 96 over the next 12 months amid narrowing rate differentials.

A softer USD would be supportive of further rally in gold – we expect gold to rise further to USD 5,000/oz over the next 12 months. We're also constructive on some Asian currencies backed by strong and rising current account surpluses, such as SGD and CNH.

Equity markets are likely to continue to be driven by robust earnings upgrades, driven by the AI investment cycle, with growing signs of revenue and earnings broadening across other sectors.

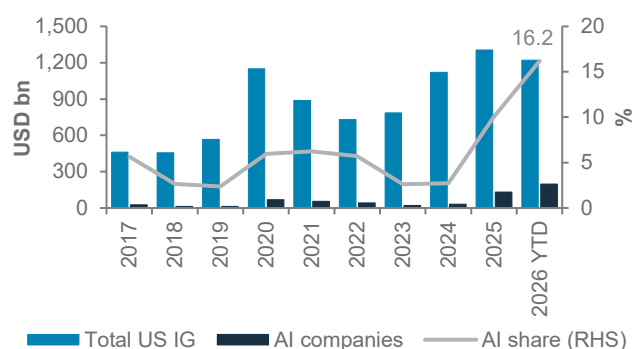
Risk to the view: The main risk to the above view is a resurgence of inflation driven by higher oil prices (staying above USD 90/bbl for a prolonged period) due to an extended blockage of the Hormuz strait or due to an upsurge in the Russia-Ukraine conflict.

Alternatively, there is a risk that the ongoing boom in US AI capex and related surge in corporate earnings spills over to the broader economy, further driving the so-called 'techflation'. Such a demand-driven inflation, as opposed to mostly supply-driven inflation this year, would force the Warsh-led Fed to hike rates more aggressively to meet its 2% inflation target. Warsh's Jackson Hole speech left markets in little doubt that the new Fed Chair takes his inflation fighting credentials seriously. Ultimately, evolving data (primarily inflation prints for now) and markets will guide him, rather than the other way around.

— **Rajat Bhattacharya**, Senior Investment Strategist

Surging corporate bond issuance from AI industry leaders is adding pressure on long-term bond yields

US gross Investment Grade bond issuance and AI issuance



Source: Bloomberg, Standard Chartered

We see downside risks to the USD as interest rate differentials between other major economies narrow

DXY, weighted interest rate differentials & five-year average



Source: Bloomberg, Standard Chartered

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Market Watch

US Treasury buyback plan a drop in the bucket

Summary

Event: The US Treasury announced an increase in its government bond buyback programme, “at least” doubling buybacks of 10-year to 30-year debt to USD 4bn, to boost liquidity and curb a surge in long-term bond yields. Before the announcement, the US 30-year government bond yield had jumped to 5.34%, the highest since 2007.

Market reaction: Relatively muted, given the scale of the long bond sell-off in the run-up to the announcement. The US 30-year yield dropped 9bps on Wednesday, closing at 5.19%, partially retracing c. 40bps jump since end-June (especially after Fed Chair Warsh’s July press briefing when he was seen as too tolerant of inflation risks). The 10-year yield fell 6bps to 4.65%, while the 2-year yield was little changed.

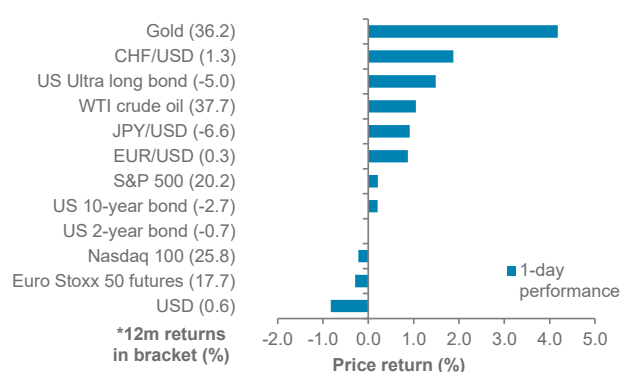
The broad USD index (DXY) fell 0.8% to a three-month low, breaking below its 200DMA, helping gold test its 200DMA around USD 4517/oz. The S&P500 stock index rose 0.2%.

Investment strategy: Doubling the “liquidity management tool” from USD 2bn to USD 4bn is small relative to the overall government bond market. Thus, this is unlikely to be a major market driver. Crucially, this is a Treasury recycling exercise, not Fed-led bond buybacks (QE). Although the initial market reaction was lower long-end yields, a weaker DXY and higher gold, markets appear to be settling down as investors recognise the announcement is not a game changer. We maintain our rangebound view on longer end yields and focus on 3-5-year maturity range in our income allocations.

Risk scenario: There is a risk that the bond buyback plan might actually make the US Treasury look desperate. It might trigger an even worse sell-off in bonds, which might start to affect broader market conditions. That might require the Fed to step in to stabilise things with some kind of real QE/yield curve management, even though Warsh has said he wants to shrink the Fed’s balance sheet. If markets anticipate this, it would be DXY bearish and gold bullish.

Gold and long-term bonds rose, while the USD fell after the US Treasury’s bond buyback announcement

Asset performance: 18-Aug close to 19-Aug close



Source: Bloomberg, Standard Chartered

The US 30-year bond yield dropped following the Treasury announcement, but remains higher compared to just a month ago

US 30-year government bond yield intra-day movement



Source: Bloomberg, Standard Chartered

Technical and fundamental backdrop

Technical backdrop: While the doubling of the bond buyback announcement may sound dramatic, it is essentially an expansion of the US Treasury's existing liquidity management tool. The Treasury has long used buybacks to support secondary-market liquidity in off-the-run Treasuries by issuing lower-yielding short-term debt and buying back higher-yielding longer-dated, not-yet-matured securities where trading depth is thinner.

This is part of a plan the Treasury has followed since the prior Biden administration when former Treasury Secretary Yellen sought to replace issuance of longer-term debt with shorter-term bills to curb long-term bond yields. Current Treasury Secretary Bessent has maintained Yellen's plan and now has proposed to double the amount of buybacks of 10-30-year government bonds to at least USD 4bn. Nevertheless, this is a drop in the bucket in the market for marketable Treasuries totalling USD 30tn.

Fundamental drivers: The real drivers of higher bond yields are a large structural US fiscal deficit and increased uncertainty around the US fiscal and monetary policy outlook. The US fiscal deficit in the first 10 months of the current fiscal year has risen 5% to USD 1.8tn. Meanwhile, US national debt just crossed USD 40tn and there are few signs that this is likely to reverse anytime soon, especially with US defence spending rising. The recent deluge of bond supply from AI hyperscalers has spooked the bond market further, raising the term premium. This backdrop points to elevated long-term yields.

However, bond markets are ultimately likely to be driven by macro fundamentals. The recent run of US macro data (softer payrolls, cooling inflation and drop in retail sales) has been supportive of our long-held view that US inflation peaked in Q2. Long-term inflation expectations have remained subdued all along.

Meanwhile, the US statistical agency is also revising the way its measures PCE inflation data, specifically portfolio and wealth management services, computer software and legal services. These revisions in end-September are likely to retroactively revise US core PCE inflation numbers lower over the past five years. Gradual disinflation over the coming quarters – as pressure from oil prices and tariffs fade – should lower US core inflation towards its 2% target by 2027.

Our Fed view: A hike in September now looks unlikely, given the latest run of data. The modern Fed has never hiked shortly after a negative payroll print.

Our base case remains that the Fed will not hike this year as disinflation continues, with impact of tariff and tax refunds fading and with imminent downward revisions to past inflation

The 30-year US government bond yield has surged well above 5% to its highest in almost two decades amid concerns about fiscal and monetary policies

US 30-year government bond yield since 2006



Source: Bloomberg, Standard Chartered

The USD slumped as the Treasury buyback plan, combined with earlier FX intervention to boost the JPY, is seen as an effort to soften the USD

USD index



Source: Bloomberg, Standard Chartered

data. Nevertheless, two things could potentially change that next year. First, inflation reheating due to higher oil prices or due to persistent techflation caused by the AI boom — a couple of consecutive core prints nearer 0.3 percent would revive the case.

Second, the bond market. With Warsh refusing forward guidance and the term premium rising, an under-delivering Fed, along with concerns about the soaring US fiscal deficit, has arguably driven the 30-year US government bond yield well above 5% to its highest in almost two decades. There's an outside chance that a further bond sell-off could force an insurance hike, despite Warsh's preference for unchanged policy settings.

Watching Jackson Hole: Warsh's speech at the Fed's annual Jackson Hole summit next week will be watched closely for signs of whether his resolve to hold is cracking. We believe Warsh will want to sound hawkish to establish his inflation-fighting credentials, but give little forward guidance. That leaves us watching the data closely, especially the forward-looking inflation indicators and jobless claims numbers.

Equity market implications: Falling yields should generally be positive for equity valuations. From a sector perspective, gold miners should benefit from the rise in gold prices, while materials and mining sector benefits from stronger commodity prices. A lower cost of capital would also benefit software, small caps and "long duration" companies — these are companies whose expected profits are weighted more heavily to the long term with relatively little or no profits in the short term.

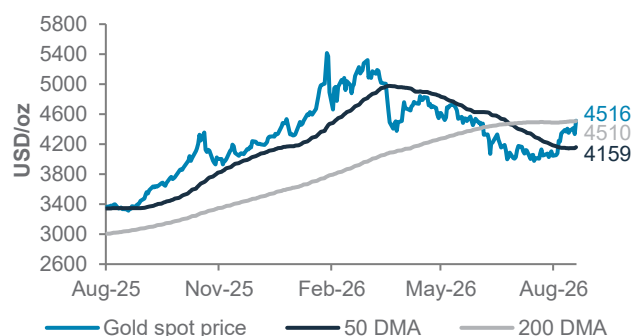
FX, Gold implications: Gold rallied strongly even before this announcement and built on these gains overnight. We remain bullish on gold. While the size of this increased bond purchases is very small in the scheme of things, its signalling impact in the FX markets could be sizeable. If you add this to the FX intervention in the Yen market earlier this month, it fits with a policy desire to push the US dollar weaker.

While there is not an obvious strong currency to benefit, gold is probably the best way to play this view. The key risk is if the move backfires, putting upward pressure on real bond yields and on the Fed to hike rates, then this could be a significant headwind for gold.

— **Rajat Bhattacharya**, Senior Investment Strategist
Jonathan Liang, CIO for Fixed Income and FX
Fook Hien Yap, Senior Investment Strategist

Gold benefitted from a weaker USD and is now testing its 200DMA on the uptrend

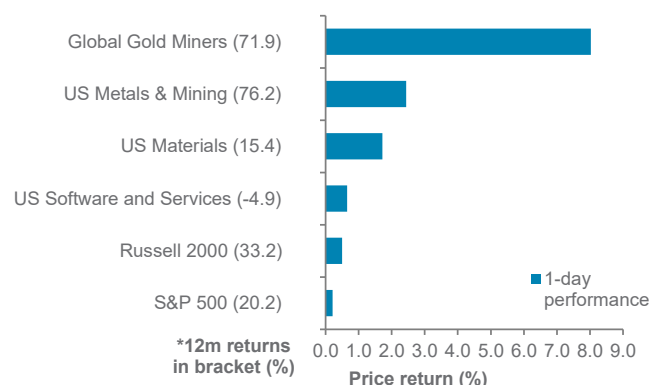
Gold price and its 50- and 200-day moving average



Source: Bloomberg, Standard Chartered

Gold miners led overnight gains in equities, driven by the rise in gold prices, with materials and mining sector benefitting from stronger commodity prices

Equity indices performance: 18-Aug close to 19-Aug close



Source: Bloomberg, Standard Chartered

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